

Classification of Agency Relationships

As a real estate agent, you may serve as either a **general agent**, with responsibility for all of the dealings of a specific piece of your client's property, or you may serve as a **special agent**, where you have limited authority to act on your client's behalf.

In most transactions involving a buyer or seller, you'll act as a **special agent**. A special agent is also known as a **limited agent**. This means you don't make any decisions or enter into any contracts on your client's behalf, but simply act as an intermediary, liaison, and negotiator, conveying and representing your client's wishes. In addition, a special agent doesn't offer continuity of service. Once the transaction is complete, your role as an agent ends. To take this lack of continuity even further, some licensees will merely post a seller's listing on the MLS but won't act in any advisory capacity to the seller. Another example of a limited agent would be an escrow officer. The escrow officer is acting on behalf of both parties to a transaction, but in a limited role. The escrow officer doesn't represent either party, and when the transaction is complete, the escrow officer's relationship with the parties ends.

A **designated agent** is a licensee who's appointed by the brokerage's broker to represent one party. This form of agency allows two parties to a transaction to be represented by a single brokerage. The broker appoints one licensee to act as the designated agent for one party (the buyer, for example), and a different licensee to act as the designated agent for the other party (the seller). In these situations, only the licensee appointed to the client owes fiduciary duties to that client, and the broker becomes a **dual agent**. In some states, a designated agent is known as an **appointed agent**, or **assigned agent**.

As a property manager, however (should you find yourself in this role), you would be a **general agent**. In carrying out the terms of the property management agreement, you would collect rent, evict tenants, and enter into leases with tenants on behalf of your client, the property owner. This is similar to the duties the holder of a power of attorney would have, but a power of attorney may not be required. The property management agreement will spell out the scope of your authority to act on the principal's behalf. A general agent in this capacity does offer continuity of service, because the agent is authorized to conduct a series of transactions.

A **universal agent** is someone who is empowered to do anything the principal could do personally. This type of agent has the most authority; in fact, a universal agent's authority is virtually unlimited. One example of a universal agent would be a court-appointed guardian, whose authority would likely be over a person and the person's property. As a real estate agent, it is highly unlikely you'd be appointed as a client's universal agent.

A **transaction coordinator** is a non-agent. They merely act as a facilitator to a party, basically assisting the parties with paperwork, but not acting as a fiduciary to either one. A transactional broker is sometimes referred to as a **facilitator**, which is an accurate description of this role. In addition, a licensee may represent one party as an agent and assist the other party as a non-agent—helping them with the paperwork, but not advising them or acting in a fiduciary capacity for them. As a non-agent or facilitator to both parties, the licensee does still owe both parties the duty of confidentiality. To divulge confidential information about one party to another would equate to acting as an undisclosed dual agent, and would be a violation of real estate law.